LSEG (LSEG LN): Long

Priced for churn it has not seen

Tobenna Agubuche | 25 October 2026 | Price 9,510p (close 23 Oct) | Market cap c.£46bn | Target 10,870p (+14%)

Method	Value per share	vs price
Price target (50% DCF, 50% sum of the parts)	10,870p	+14%
DCF, base case	10,250p	+8%
Sum of the parts, peer forward P/E	11,480p	+21%
Bear case (DCF)	7,580p	-20%
Bull case (DCF)	12,610p	+33%

The call

The debate on LSEG is whether AI tools will replace the data it sells. The best single measure of that is revenue retention, which was 92.4% at December 2025 and 92.8% at June 2026. Working back from 9,510p, my model needs retention to fall to about 89.8% from 2027 and stay there. That would be the worst level LSEG has reported, and it has not happened yet. Retention has gone up this year.

The rest of the group is not exposed to that argument. Markets, FTSE Russell and Risk Intelligence make up 57% of 2026E income and grew 10% to 12% in Q3. Valued division by division at peer multiples, the shares are worth about 11,480p.

My forecasts are within 3% of consensus on 2026 to 2028 EBITDA and EPS. The view is about what the market is paying for those numbers.

How the model is built

- 2026 is nine months of reported income by line plus a Q4 estimate, so the current year is close to locked.
- Subscription income from 2027 runs off ASV growth, which I build as gross sales plus price, minus churn (1 minus retention). Workflows, the terminal business, grows 3 points slower than ASV. Data & Feeds grows 1.2 points faster.
- FTSE Russell asset-based income is ETF AUM times a yield that falls 2% a year. FIDO is Tradeweb volume times revenue per unit of volume. OTC derivatives follow SwapClear notional. Net treasury income is cash collateral times a spread that falls 5% in 2027 as rates come down.
- Divisional EBITDA margins use LSEG's own segment disclosure, starting from 2025 (D&A 40.7%, FTSE Russell 66.6%, Risk Intelligence 57.5%, Markets 55.6%).

Where I disagree with the market

Retention is going the right way. It rose from 92.4% to 92.8% in the first half. ASV growth was 6.1% at June and gross sales were £482m on a rolling twelve-month basis, up from £435m a year earlier. AI Search users went from about 17,000 in July to 47,000 by October, and 95% of the top 200 customers use LSEG's AI products.

The growth is in data sold into customers' own systems. Data & Feeds grew 7.5% organically in Q3. Workflows grew 2.8%. If AI pulls usage away from terminals and towards machine-readable data, LSEG is on both sides of that shift.

Octus adds content a model cannot scrape. LSEG is paying $3.5bn in cash for private and distressed credit research with double-digit growth and $300m to $320m of revenue this year. Management expects it to be neutral to earnings in the first full year. It is debt-funded, and leverage should be back to the middle of the 1.5x to 2.5x range by the end of 2028.

Cash returns are large. Equity free cash flow guidance is at least £2.8bn for 2026. Buybacks and dividends from January 2026 to February 2027 come to about 10% of the market cap. The share count falls from 510m to 449m by the end of 2028 in my model, and the 2027E equity FCF yield is 6.5%.

Forecasts

£m unless stated	2025A	2026E	2027E	2028E
Income excl. recoveries	8,986	9,639	10,385	10,966
Adjusted EBITDA	4,523	4,964	5,360	5,703
EBITDA margin	50.3%	51.5%	51.6%	52.0%
Adjusted EPS (p)	420.6	490.8	547.3	599.6
Consensus EPS (p)		480.6	550.9	615.5
DPS (p)	150.0	171.4	193.9	212.4
Equity free cash flow	2,445	2,801	2,958	3,135

Net debt / EBITDA	1.7x	1.8x	2.2x	2.0x

From 2027 the figures include Octus, which I assume closes on 1 January 2027 at a 40% EBITDA margin. Neither is disclosed. Consensus was compiled on 13 October, before the deal.

Valuation

DCF. 8.3% WACC (4.9% risk-free rate, 0.85 beta, 5.0% equity risk premium, 15% debt), 3.0% terminal growth, mid-year discounting from 31 December 2026. I deduct the Tradeweb minority at Tradeweb's own forward P/E of 28x, which is about £10.4bn. The terminal value is 83% of EV and implies 11.6x 2030E EBITDA. Across a WACC of 7.8% to 8.8% and terminal growth of 2.5% to 3.5%, the value ranges from 8,160p to 13,300p.

Sum of the parts. I split shareholder earnings by division and apply each division's peer median forward P/E: 20.4x for Data & Analytics (FactSet, S&P Global, RELX, Experian), 26.2x for FTSE Russell (MSCI, S&P Global), 20.5x for Risk Intelligence (Experian, RELX, Moody's) and 22.5x for Markets (ICE, CME, Nasdaq, Deutsche Börse, Euronext). The blended multiple is 22.3x against 18.4x for LSEG today.

What the price implies. Holding everything else at my base case, 9,510p needs one of the following:

- retention of 89.8% from 2027, against 92.8% today
- Tradeweb volume growth of 1.6% a year, against 6% in my base case
- terminal growth of 2.7%

Scenarios. In the bear case, retention drops to 91.0%, Workflows shrinks faster, volumes and ETF flows slow, the treasury spread falls 20% and margins drift lower. That gives 7,580p. In the bull case, retention reaches 93.5% and volumes hold up, giving 12,610p. Weighted 25/50/25, the value is 10,170p.

Catalysts

- FY2026 results, expected in late February 2027, with 2027 guidance and the 2027 buyback (£1.0bn to £1.5bn signalled).
- Retention and ASV at each half-year. A print at or above 92.5% undercuts the bear case directly.
- Octus completion and regulatory approval.
- Elliott, which disclosed a stake in February, is pushing for portfolio changes. Any sale or separation talk would put a price on the parts.

What would make me wrong

- Retention falls below 91% or ASV growth drops under 5%.
- Markets volumes fall sharply from 2026's high levels. Tradeweb volumes rose 25% in the first half, so some payback is likely.
- Another large acquisition before leverage comes back down.
- Octus earns well below a 40% margin or takes longer to close.

How to express it

Long LSEG against short FactSet removes most of the market and sector exposure and isolates the gap between the two. LSEG trades only 9% above FactSet on forward earnings, although 57% of its income is exchange, index and risk data. A beta-neutral hedge is about £0.53 of FactSet per £1 of LSEG. FactSet short interest is about 9% of float, so the short leg is crowded and I would size it small.

Model, assumptions and sources: github.com/Tobenna30/finance-models

For discussion only. Not investment advice. Sources: LSEG FY2025 results, H1 2026 interim report, Q3 2026 trading update and IR consensus (13 Oct 2026); Reuters; market data from stockanalysis.com and Alpha Vantage (prices 20 to 23 Oct 2026).